

Paradiem

The Morning Brief

AUGUST 25, 2026

Chip Compression

Chip-sector de-risking leads Nasdaq lower into Wednesday's NVDA print as defensive rotation absorbs the tape and TLT catches a bid.

S&P 500 (SPY)	NASDAQ (QQQ)	NVDA	BITCOIN (IBIT)	FEAR & GREED
\$763.47 · ↓0.29%	\$706.32 · ↓1.00%	\$208.48 · ↓2.91% (into Wed AMC print)	\$44.64 · ↑2.20%	74 · Greed (Crypto endpoint fallback)

SECTION 01

Markets — Chip Sector De-Risks Ahead of Wednesday's NVDA-PCE-GDP Triple as Defensive Rotation Absorbs the Tape and Duration Catches a Bid

HEADLINE INDEX DAMAGE UNDERSTATES THE COMPRESSION — CHIPS LED THE TAPE LOWER WHILE STAPLES, UTILITIES, AND FINANCIALS ABSORBED THE ROTATION

Per data drop, SPY closed ↓0.29% at \$763.47 on Monday against a session range of \$762.08–\$765.22, and DIA closed ↑0.27% at \$533.65 — the Dow-Nasdaq divergence pointing to the compositional story the headline print obscured. Per data drop, QQQ closed ↓1.00% at \$706.32 with the FCI semiconductor complex compressing broadly ahead of Wednesday's Nvidia print: NVDA ↓2.91% at \$208.48 on the session, AMD ↓3.49% at \$456.75, MRVL ↓3.27% at \$229.29, TSM ↓2.11% at \$410.12, NXPI ↓1.38% at \$222.44, LRCX ↓1.22% at \$310.17, and KEYS ↓1.73% at \$310.66 — a broad-based semis de-risk consistent with pre-print positioning rather than a fundamental repricing. Per data drop sector composition, staples XLP ↑1.70%, financials XLF ↑1.29%, utilities XLU ↑1.05%, and comm-svcs XLC ↑0.83% absorbed the rotation cleanly, while tech XLK ↓1.78% and energy XLE ↓0.83% took the bulk of the flow. For FCI positioning, the composition — defensive-and-yield sleeves bid, growth-and-cyclical sleeves faded — reads as a classic pre-print de-risk into the growth-sleeve marquee catalyst rather than a directional shift in the underlying thesis.

FCI SEMIS SLEEVE (MON)	NVDA ↓2.91% · AMD ↓3.49% · MRVL ↓3.27%
TSM / NXPI / LRCX	↓2.11% / ↓1.38% / ↓1.22%
DEFENSIVE ABSORB	XLP ↑1.70% · XLU ↑1.05% · XLF ↑1.29%
TLT (20Y BOND)	\$82.56 · ↑0.62% (duration bid returns)
DIGITAL ASSETS	IBIT ↑2.20% · ETHA ↑2.30%
WEDNESDAY TRIPLE	GDP+PCE+Durables 8:30 ET · NVDA AMC

DURATION BID RETURNS ALONGSIDE THE DEFENSIVE ROTATION — 10-YEAR EASED MODESTLY AND TLT RECOVERED A FRACTION OF THE PRIOR WEEK'S ROUND-TRIP

Per Trading Economics and CNBC coverage of Monday's tape, the 10-year Treasury yield eased to approximately 4.71–4.72% (down roughly 2 basis points on the session), and per data drop TLT closed ↑0.62% at \$82.56 — recovering a fraction of the Wednesday buyback-driven bid that had round-tripped by Friday's close. Per Reuters coverage cited in the data drop, dollar-index prints edged higher on the day as markets digested the Iran-sanctions detail and the Treasury bond-buyback framing captured in prior briefs. For FCI

positioning, the composition — duration bid returning alongside a defensive sector rotation and a chip-sector de-risk — reads as consistent with the Bessent-Warsh-NVDA sequence risk the Sunday brief flagged: the tape is compressing into Wednesday's 8:30 AM ET GDP-and-PCE print and Wednesday-AMC NVDA release before Chair Warsh's Friday keynote lands. Per CME FedWatch coverage cited in prior briefs, September rate-decision odds continue to run heavily hold-weighted, keeping the composition materially dependent on Wednesday's PCE read for any incremental move in the distribution.

CRUDE FADES ON BESENT DETAIL AS DIGITAL ASSETS EXTEND THE DEBASEMENT BID THROUGH THE FCI ETF EXPRESSION

Per data drop, USO (WTI proxy) closed ↓1.80% at \$132.21 on Monday and BNO (Brent proxy) closed ↓1.90% at \$52.78 — the crude complex reading Monday's Bessent Treasury

press conference detail (per Reuters coverage cited in the data drop headlines) as narrower than the market feared and pricing the Iran granted permission for Iraqi tankers to transit Hormuz as a modestly de-escalatory signal into the tape. Per data drop, the FCI energy sleeve tracked the fade: CVX ↓1.06% at \$203.09, OKE ↓0.33% at \$93.02, and CNX ↑0.33% at \$36.48 — a compression consistent with the physical-friction floor easing at the margin. Per data drop, the digital-asset complex extended the debasement bid cleanly with IBIT ↑2.20% at \$44.64 and ETHA ↑2.30% at \$18.66 — both extending the Friday-and-weekend rip captured in the prior brief and reading against Wednesday's PCE catalyst and Friday's Warsh Jackson Hole payments-and-policy theme. Per data drop, GLD closed ↑0.79% at \$426.69 as gold extended the debasement bid alongside crypto — the compound hard-asset expression that continues to sit at the intersection of the physical-world thesis and the fiscal-anxiety framing.

A tape that compresses ahead of one earnings print tends to leave the setup risk skewed toward the response function rather than the print itself. Discipline over impulse.

SECTION 02

Geopolitics — Bessent Detail Reads Narrower Than Feared, Iran Widens Sanctions Response, Lisa Cook Deadline Lands Wednesday, and Trump-Xi Overcapacity Tariff Framework Advances

MONDAY'S BESENT PRESS CONFERENCE DELIVERED THE ENFORCEMENT DETAIL — IRAN WIDENED THE SANCTIONS PERIMETER TO A NAMED OIL TRADER, BUT CRUDE READ THE PACKAGE AS NARROWER THAN THE FRAMING HAD IMPLIED

Per Reuters coverage cited in the data drop headlines, the US Treasury sanctioned oil trader Wellbred over Iran links on Monday — a named-entity addition to the secondary-sanction perimeter Secretary Bessent framed last week as the most stringent regime to date — and per additional Reuters coverage cited in the data drop, Iran vowed to retaliate after the widened package landed. Per Reuters, oil extended its fall as investors shrugged off the latest US sanctions on Iran, and per data drop the FCI energy sleeve tracked the fade with CVX ↓1.06%, OKE ↓0.33%, and XLE ↓0.83% on the session. Per Reuters coverage cited in the data drop, roughly half of global oil flows now transit war-adjacent zones six months into the Iran conflict, and per additional Reuters coverage Pakistan and Iran reported significant progress in bilateral talks on the conflict — a marginal diplomatic-tone signal alongside Saturday's Iraqi-tanker Hormuz permission captured in the Sunday brief. For FCI positioning, the composition — enforcement perimeter widened at the named-entity level but not at the Shandong teapot or marine-insurance systemic level markets had positioned for — reads as a narrower-than-feared operative detail; the crude complex responded by pricing a modest easing of the physical-friction floor into Monday's tape, though the compound Middle East and Ukraine-Russia refinery supply variable remains structurally intact into the Wednesday PCE and NVDA prints.

LISA COOK RESPONSE DEADLINE LANDS WEDNESDAY — THE FED-INDEPENDENCE OVERHANG READS ALONGSIDE WEDNESDAY'S PCE AND NVDA PRINTS

Per Washington Post, Axios, and NPR coverage of the August 5 White House letter to Federal Reserve Governor Lisa Cook, Cook was given 21 days to respond to allegations that she committed mortgage fraud by listing two different homes as primary residences on mortgage applications in 2021 — a deadline that lands Wednesday August 26 alongside the GDP and PCE prints and Nvidia's after-close release. Per SCOTUSblog and Fortune coverage of the sequence, this represents the White House's second attempt to remove Cook following a Supreme Court block on the initial attempt for procedural insufficiency; the new letter is designed to satisfy the notice-and-response conditions the Court flagged. If taken at face value, the composition suggests the Wednesday response window functions as a live Fed-independence catalyst embedded inside a marquee-earnings-and-macro-data day — a scheduling compression that would leave the tape reading a Fed-governance signal against a PCE distributional read and an NVDA growth read simultaneously. For FCI positioning, the composition reinforces the discipline-over-impulse posture into what may prove the widest single-day catalyst compression of the current window; the rates and duration complex continues to sit at the intersection of the September FOMC probability distribution and the incremental Fed-independence signal.

TRUMP-XI OVERCAPACITY TARIFF FRAMEWORK ADVANCES AT APPROXIMATELY 7.5% AHEAD OF A LATE-SEPTEMBER SUMMIT — THE CHINA TRADE COMPOUND EXTENDS

Per Bloomberg and Fortune coverage over the weekend, the Trump administration is preparing a new tariff on Chinese goods framed as a penalty for overcapacity in the global market, with the level under consideration at approximately 7.5% — a construction administration officials characterized as engineered to not endanger the one-year US-China trade truce or the planned late-September White House meeting between President Trump and President Xi. Per Fortune, this would layer on top of the 10–12.5% tariffs announced last month for approximately 60 economies over forced-labor enforcement concerns; per Bloomberg, the Chinese embassy publicly rejected the overcapacity characterization and reiterated a preference for bilateral negotiation over unilateral action. For FCI positioning, the sequence — Section 338 Canada duties live since Saturday with September 8 retaliation scheduled, and a China overcapacity tariff advancing into the late-September Trump-Xi meeting — extends the trade-policy compound into the fourth quarter and continues to frame the industrial-and-materials sleeve read-through captured in prior briefs (CAT ↓2.04% Monday at \$811.02 per data drop is consistent with the Canadian-tariff read against the broader industrial complex, though STLD ↑0.26% at \$229.27 held the Friday recovery and NTR ↓1.30% at \$74.29 gave back a fraction of the Friday potash carve-out bid).

SECTION 03

On Our Radar

1. Wednesday Compression — GDP 2nd Estimate, July PCE, and Durable Goods at 8:30 AM ET; NVDA After the Close; Lisa Cook Response Deadline Same Day. Per BEA release schedule, the July Personal Income & Outlays report (including the PCE and core PCE deflator) publishes Wednesday August 26 at 8:30 AM ET alongside the Q2 2026 GDP 2nd estimate and July Durable Goods Orders — a triple release the tape has been compressing toward since Friday. Per data drop, NVDA reports Wednesday after the close, with CRM and CRWD the same evening; per prior TipRanks and TS2 coverage cited in the Sunday brief, options traders have priced an approximately 7% post-earnings move and NVDA has fallen after each of the past four quarterly prints. Per NPR and Washington Post coverage of the August 5 White House letter to Fed Governor Lisa Cook, Cook's 21-day response window closes Wednesday August 26 — a Fed-independence catalyst embedded inside the same session. Per data drop, today (Tuesday August 25) delivers Case-Shiller at 9:00 AM ET and both Conference Board Consumer Confidence and New Home Sales at 10:00 AM ET — the setup releases into Wednesday's compression.

2. FCI Semis Sleeve Compression — Monday De-Risk Was Broad-Based; Options Positioning Frames a Two-Sided Wednesday Response.

Per data drop, the FCI semiconductor complex compressed cleanly on Monday: NVDA ↓2.91% at \$208.48 (session L \$207.25), AMD ↓3.49% at \$456.75 (L \$451.00), MRVL ↓3.27% at \$229.29 (L \$220.42), TSM ↓2.11% at \$410.12 (L \$405.15), NXPI ↓1.38% at \$222.44 (L \$217.98), LRCX ↓1.22% at \$310.17 (L \$297.78 — the widest intraday distance from the close in the sleeve), KEYS ↓1.73% at \$310.66, and QCOM ↓1.38% at \$158.53. Per Benzinga coverage cited in the data drop headlines, memory-chip pricing pressure (up more than 15% per reporting) sits alongside the pre-print positioning as an incremental structural read. Per SeekingAlpha coverage cited in the data drop, Marvell's Google-derived AI thesis and Nvidia's pre-ASIC positioning frame both prints (MRVL Thursday AMC) as bookend catalysts for the FCI semi read. For FCI positioning, the sleeve compression sets up a two-sided Wednesday response function — a beat-and-raise historically tends to lift the sleeve broadly; a guide-below or hyperscaler-mix concern historically tends to compound the pre-print de-risk into the following session.

3. Digital Assets Extend Cleanly — IBIT ↑2.20%, ETHA ↑2.30%; Warsh “Financial Innovation” Framing Sits Friday Morning.

Per data drop, IBIT closed Monday ↑2.20% at \$44.64 and ETHA ↑2.30% at \$18.66 — extending the Friday-and-weekend rip captured in the Sunday brief cleanly into Monday's tape. Per data drop, GLD closed ↑0.79% at \$426.69 alongside the crypto bid — the compound hard-asset expression continuing to sit at the intersection of the debasement bid, the fiscal-anxiety framing, and the physical-world thesis at the center of the FCI mandate. Per Kansas City Fed calendar and MNI Markets confirmation cited in prior briefs, Chair Warsh's Jackson Hole keynote lands Friday August 28 at 10:00 AM ET under the theme “Financial Innovation: Implications for Payments and Policy” — a notably crypto-adjacent framing that historically tends to move the digital-asset complex on the incremental communication signal. For FCI positioning, the IBIT and ETHA expression continues to compound the debasement-hedge trade against Wednesday's PCE and Friday's Warsh keynote.

4. Defensive Rotation Reads — CHD ↑3.78% Anchors the Dividend Sleeve, EIX ↑3.32% Leads the Growth-Sleeve Utility Complex on Long Beach Grid Event, and CEG

↑0.20% Holds on the AI Power Framing. Per Benzinga coverage cited in the data drop headlines, SoCal Edison responded to a Long Beach power outage that left more than 22,000 customers without electricity amid extreme heat — a grid-and-demand event that framed EIX ↑3.32% at \$73.97 as the widest single-name move in the growth-sleeve utility complex on the session; per data drop, CHD ↑3.78% at \$102.53 and CL ↑1.61% at \$92.55 anchored the dividend-sleeve staples rotation, and per data drop sector composition XLP ↑1.70% led the tape. Per Benzinga coverage cited in the data drop, the AI-power framing (demand expected to grow more than 1,100% by 2033 per the outlet's cited reporting) kept CEG ↑0.20% at \$273.43 and VST ↓0.40% at \$135.66 in the compound read alongside NEE ↑0.54% at \$84.10 — a composition that continues to isolate the FCI utility-and-power sleeve as the intersection of the AI-cap-ex compound and the physical-world thesis. Per Fintel and Benzinga coverage cited in the data drop, Mizuho initiated coverage on VST at Outperform with a \$169 price target — an incremental sell-side signal on the AI-power sleeve name.

5. HOOD ↓4.17% Round-Trip — Friday's Leading Single-Name Move Gave Back a Fraction of the Rip; Fintech-and-Miner Complex Broadly Softer.

Per data drop, Robinhood closed Monday ↓4.17% at \$103.62 after leading the FCI universe Friday at ↑13.70% — giving back approximately a third of the single-session rip in a session where SOFI ↓3.54% at \$18.24, HOOD, and the broader fintech complex faded alongside the growth-sleeve compression. Per data drop, the bitcoin-miner complex softened at the margin with HUT ↓1.61% at \$79.56 and MARA ↓0.71% at \$11.18 — a modest continuation of Friday's miner-equity divergence from spot even as IBIT and ETHA extended the ETF-channel bid. For FCI positioning, the round-trip in HOOD reads as a natural sequence-and-liquidity unwind after Friday's outsized print; the underlying digital-asset thesis through IBIT and ETHA remains materially intact into Wednesday's PCE and Friday's Warsh keynote.

6. Carson's SPY \$645.80 Support Remains Active — Monday's \$762.08 Intraday Low Left the Level Untouched; No New Levels Set. Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Monday's \$762.08–\$765.22 SPY intraday range per data drop and now sits approximately 15.4% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone (both hit that session). With Consumer Confidence and New Home Sales today at 10:00 AM ET, July PCE and Q2 GDP 2nd estimate Wednesday at 8:30 AM ET, NVDA reporting Wednesday AMC alongside CRM and CRWD, the Cook response deadline the same day, MRVL Thursday AMC, and Chair Warsh's Jackson Hole keynote Friday at 10:00 AM ET, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: the data drop Fear & Greed reading of 74 "Greed" reflects the CNN endpoint falling back to the crypto index; the CNN stock-market F&G reading should be treated as approximate for this brief.

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